Weekly Insights | Sep 4, 2025

Executive Summary

Corn – Harvest Begins, Carry Incentives Dominate

CME corn futures (Dec '25) were steady this week, ending at $4.18/bu on Sep 9, virtually unchanged from the prior week. Harvest is just beginning (four percent complete vs three percent avg), with crop ratings slipping to 68 percent good/excellent (down one). Private yield surveys continue to edge below USDA's August figure. The Dec'25/Mar'26 spread widened to nineteen cents, about sixty percent of full carry, providing strong storage incentives. Basis diverged: Gulf CIF eased under rising barge freight, while ethanol plants and feeders in the Western Corn Belt kept bids firm. Export inspections were 1.4 MMT, led by Mexico and Japan, but Brazil remains the cheaper origin into Asia.

Soybean Complex – Strong Crush Margins Meet Sluggish Exports

November soybeans ended flat at $10.23/bu. Crop ratings dipped to 64 percent good/excellent (down one), with harvest just starting in the South. Spreads held at twelve–thirteen cents (Nov/Jan, fifty-five – sixty percent of carry). Gulf basis softened to +90–100¢ vs Nov (from +140¢ a month ago) as early supplies hit the pipeline, while processors maintained firm bids on crush margins above two dollars per bushel. July's official crush was up nearly six percent year-on-year, and soymeal exports hit a record 1.39 MMT. China remained absent from U.S. purchases, relying on Brazil, where ANEC raised Sep soybean exports to 7.4 MMT.

Wheat – Global Surplus Keeps Market on Defensive

CBOT Dec wheat held at $5.16/bu, steady on the week. Russian exports remain heavy and EU shipments lag, leaving global supply ample. The Dec'25/Mar'26 spread widened slightly to seventeen cents, about half of full carry. U.S. spring wheat harvest reached eighty-five percent (vs eighty-three percent avg), adding seasonal pressure. HRW cash premiums softened with harvest completion, while SRW basis at the Gulf stayed firm near +100¢. Canada's crop is smaller (~35.5 MMT vs 35.9 last year) and Australia faces El Niño risks, but overall global availability remains comfortable, keeping futures defensive.

Carry % calculated assuming 7% annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.

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Macro/Policy – Softer Dollar, Firm Energy, Logistics in Focus

The U.S. dollar index eased to around 97.7 on softer economic data, giving commodities a modest lift. Crude oil hovered near $64–65/bbl, keeping biofuel margins supportive. The Brazilian real held firm near R$5.40, discouraging farmer selling, while Argentina's peso remained under strict controls, widening the gap with parallel markets. U.S. bond yields slipped to about 4.1 percent, lowering carry costs, while ocean freight indices firmed as the Baltic Dry Index closed near 1,979. Overall, macro factors leaned neutral to slightly supportive for U.S. competitiveness.

Weather

The U.S. Midwest saw light frost in the Upper Midwest early in the week, raising concerns for late crops, but conditions turned warmer and drier, aiding harvest progress. Corn and soy conditions slipped slightly as of September 7. In South America, Brazil's central areas remain dry, delaying soybean planting, though Paraná has begun early sowing. Argentina improved moisture in some regions, but deficits persist. Elsewhere, Australia's wheat areas face El Niño risk, while Canada's Prairie drought continues to trim output.

What's Next (Sep 11 – Sep 17):

U.S. Harvest Pace: Crop Progress on Sept 16 will update corn and soybean harvest progress; early yield reports will shape trade sentiment.

Export Sales: USDA weekly sales (out Sept 12) will be critical for soybeans, given sluggish new-crop commitments and Brazil's aggressive pace.

Policy/Logistics: Watch Mississippi River levels; rising barge freight is already weakening Gulf basis. Argentina's currency controls and upcoming elections remain a wild card for farmer selling.

South America: Monitor early Brazilian soybean planting and rainfall patterns; dryness in central Brazil could delay sowing.

Global Wheat: Russian export tempo and EU shipments will remain key drivers for wheat spreads and FOB values

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	9/03/2025 Close	9/10/2025 Close	Change (Δ)	Δ%	5-day Realized Vol*	Open Interest Δ
Corn (Dec '25)	$4.18	$4.18	+$0.01	+0.2%	~% (ann.)	~k (est.)
Soybeans (Nov '25)	$10.29	$10.23	–$0.06	–0.2%	~% (ann.)	~k (est.)
Wheat (Dec '25)	$5.18	$5.16	-$0.02	-0.4%	~% (ann.)	~k (est.)

5-day realized volatility estimated from daily settlement price changes.
Actual contract open interest changes are estimated; total corn OI rose slightly as new-crop hedges built, while wheat OI fell with Sep contract deliveries.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	9/3 Quote	9/10 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Dec–Mar	+$0.18	+$0.19	+0.01	~60%	Carry widening; storage hedge incentive
Soy Nov–Jan	+$0.12	+$0.12	0.00	~55%	Moderate carry; crushers absorbing supply
Wheat Dec–Mar	+$0.18	+$0.17	-0.01	~50%	Comfortable carry, no stress

Assumes 7% annual interest + \$0.05/bu-month storage. Full carry over 3 months ≈22¢ for corn/wheat, 2 months ≈$0.22 for soy. Percent of full carry = (spread ÷ calculated full carry)

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Mo)	9/3 USD Price	9/10 USD Price	Δ	Notes
Dalian Corn (Jan)	¥2,230 ($7.70)	¥2,230 ($7.70)	0%	China corn futures slipped; still premium over imports
Dalian Soymeal (Jan)	¥3,590 ($489)	¥3,580 ($487)	-0.2%	Soymeal firm, hog demand steady
B3 (São Paulo) Corn (Nov)	R$60.0 ($12.25)	R$60.0($12.25)	0%	Brazil corn pressured by exports
Euronext Wheat (Dec)	€192.0 ($225)	€192.0 ($225)	0%	EU wheat pressured by Black Sea offers

Corn Market Deep Dive

Futures & Spreads: December 2025 corn futures finished the week unchanged at $4.18/bu (Sep 9 close). Harvest has just begun, at four percent complete (vs three percent avg), and crop ratings slipped to 68 percent good/excellent (down two points). Private surveys continue to suggest yields in the mid-180s bpa, modestly below USDA's August forecast. The Dec '25–Mar '26 spread widened to nineteen cents carry, about sixty percent of full carry, highlighting strong storage incentives. Implied volatility stayed near 18 percent, reflecting a comfortable supply outlook and steady commercial hedging activity.

Funds & positioning: Managed money remains net short corn at ~95,000 contracts, trimming exposure but not yet flipping long.

Trade flows: U.S. corn inspections stayed strong on steady business to Mexico and Japan, and spot tenders from Vietnam kept the Gulf competitive into Q4. The recent U.S.–Japan agricultural framework continues to underpin feed-corn demand there, while Mexico's rail and truck lanes remain the backbone of nearby U.S. shipments.

Short-Covering: CFTC's Commitments of Traders (as of Sep 8) showed managed money net short near ninety-five thousand contracts, trimming positions compared to August but still heavily bearish.

Commercials extended net longs as elevators and end-users layered in coverage ahead of harvest. Open interest trends suggest forward selling continues, consistent with storage hedges.

Calendar Spreads & Basis: Wide carries remain dominant. The Dec–Mar spread at nineteen cents underscores strong incentives for commercial ownership. U.S. corn basis diverged: CIF Gulf bids eased to +90–95¢/bu versus Dec, pressured by high barge freight as Mississippi River levels fell. The Illinois River was off 5¢ on the week, while ethanol plants and feeders in the Western Corn Belt kept bids firm. National average corn basis hovered around –45¢ under Dec futures.

International Futures & Trade: Dalian corn (Jan) held steady near ¥2,230/MT (about $7.70/bu), still a steep premium over imports, but weaker feed margins kept Chinese buyers sidelined. Brazil's B3 corn (Nov) traded steady near R$60/bag, reflecting record safrinha supplies flowing into export channels. In Argentina, Up-River FOB offers remained among the cheapest globally (around $175/MT), though election uncertainty and currency volatility continued to distort farmer selling. Weekly U.S. export inspections were 1.4 MMT, led by shipments to Mexico and Japan, but Brazil's competitiveness into Asia limited U.S. demand.

So what: Corn is transitioning from a weather-driven market to a storage-led one. Wide carries reward elevators for holding grain, while commercials actively hedge. Funds remain net short, leaving scope for covering if early yield results disappoint. Futures appear anchored in the low $4s — high enough to support demand but capped by large supply. Basis will stay volatile under Gulf logistics pressure, while inland demand remains steady.

Soybean Market Deep Dive

Futures & Spreads: November 2025 soybeans closed flat at $10.23/bu on Sep 9. Crop ratings eased to 64 percent good/excellent (down one), and harvest is just beginning in southern states. Calendar spreads held at twelve–thirteen cents (Nov/Jan), about fifty-five to sixty percent of full carry. Futures remain range-bound as strong domestic crush demand offsets sluggish export activity.

Funds & positioning: Speculators turned net long soybeans (~11,000 contracts), reflecting modest bullishness but still room for expansion if demand surprises materialize.

Export commitments: New-crop U.S. soybean sales remain well behind last year at this date as China leans on Brazil for nearby; the book is concentrated in Mexico and 'unknown.' Products divergence: Soymeal demand outperformed soyoil into September, consistent with robust crush margins focused on meal; this showed up in firmer meal basis and comparatively softer oil values.

Basis & Exports: Gulf CIF soybean basis weakened to +90–100¢ vs Nov, down from +140¢ in August, as higher barge freight and early harvest supplies weighed on export channels. Processor basis stayed firm, supported by crush margins above $2.00/bu. July's official crush was nearly six percent higher year-on-year, and soymeal exports hit a record 1.39 MMT. However, U.S. soybean export sales last week were just 0.82 MMT, with China absent. Brazil remains dominant in world trade, with ANEC raising its September export forecast to 7.4 MMT.

Positioning & International Futures: Managed money funds trimmed their net long to about eleven thousand contracts, leaving speculative positioning neutral. In China, Dalian soymeal (Jan) firmed to ¥3,580/MT (about $492/MT), supported by steady hog demand, while soybeans were little changed. Brazil's FOB offers continue to undercut the U.S., while Argentina remains sidelined due to last season's drought and ongoing currency distortions.

So what: Soybeans remain balanced around the $10.30 level. Strong crush margins and record meal exports provide support, but the absence of Chinese demand and aggressive Brazilian exports cap upside momentum. Speculative positioning is light, so the next move will depend on fundamentals: disappointing U.S. yields or Chinese buying could spark a rally, while smooth harvest and Brazil's export pace could pressure futures back under $10. For now, spreads and basis patterns suggest commercials will carry beans, leaving the market stuck in a wait-and-see mode.

Wheat Deep Dive

Futures & Spreads: CBOT December wheat settled at $5.16/bu on Sep 9, unchanged on the week. Kansas City HRW held around $6.25, while Minneapolis spring wheat traded near $6.80. The Dec–Mar spread was quoted near seventeen cents, about fifty percent of full carry. Despite values at multi-year lows, U.S. futures remain capped by abundant global supply and aggressive Black Sea competition. Paris wheat (Dec MATIF) firmed slightly to €188.75/MT, but the U.S. market stayed defensive.

Global wheat fundamentals: Russian exports continue at a heavy pace, with production near 85 MMT. EU shipments remain sluggish, leaving Europe uncompetitive. Canada's crop is smaller at about 35.5 MMT (vs 35.9 MMT last year), while Australia faces El Niño risks though recent rains have helped stabilize conditions. Ukrainian exports are running roughly forty-three percent behind last year, but overall Black Sea availability remains ample and continues to dominate global trade flows. U.S. export sales last week totaled just 313,000 MT, while inspections reached 0.7 MMT — an improvement week-on-week but still far behind Russian volumes.

Speculative positioning: Managed money funds remain heavily short, with HRW positions at record levels and Chicago SRW also deeply net short. This large speculative overhang leaves the market vulnerable to short-covering rallies, though every recovery attempt has been capped by aggressive Russian selling and comfortable global supply. Commercials have taken advantage of upticks to extend hedges, reinforcing the bearish undertone.

So what: Wheat remains under pressure from abundant Black Sea exports, sluggish EU performance, and lackluster U.S. sales. Speculative shorts provide the potential for sharp rebounds if a bullish catalyst emerges — whether from Australian weather, Canadian harvest losses, or logistical disruptions in the Black Sea — but absent such shocks, futures are likely to grind sideways at depressed levels. Current prices offer long-term value for importers and feed users, but sustained recovery will require a clear tightening in global supply or a policy shift that disrupts trade flows.

U.S. Cash Market & Basis

U.S. corn basis showed the classic early-harvest split between export channels under logistical pressure and steadier inland demand. At the Gulf, CIF corn premiums eased to about +90–95¢ over December as barge freight climbed with low Mississippi River levels, softening nearby values even as weekly inspections reached roughly 1.4 MMT led by Mexico and Japan. Brazil remained the cheaper origin into Asia, which blunted U.S. competitiveness there and kept exporters focused on nearer-term, Western Hemisphere business. Interior basis weakened seasonally as first new-crop bushels began to move north; Illinois River locations slipped about a nickel on the week. Ethanol plants in the Western Corn Belt, however, maintained steady-to-firm bids to secure coverage before local harvest pressure intensifies, supported by positive blending margins (comfortably above ten cents per gallon) and decent gasoline demand. Nationally, corn basis hovered near forty-five cents under December futures, with the river-freight squeeze and the calendar carry doing most of the work to pull values lower at export corridors while ethanol and feed users tempered the decline inland.

Logistics: Mississippi River levels tightened barge availability and lifted freight, pressuring interior basis along key river locations even as CIF Gulf held firm. Argentina FX: A wide gap between the official and parallel peso rates continued to slow farmer selling and complicate forward coverage despite cheap nominal FOB offers from Upriver.

Soybean cash markets remained a study in contrasts. Gulf basis for soybeans fell to roughly +90–100¢ versus November, well below the +140¢ area seen in August, as expensive barge freight and the first trickle of new-crop supplies weighed on export channels. Weekly inspections were only about 0.82 MMT, with China largely absent, and Brazil's program stayed dominant as ANEC lifted its September export projection to 7.4 MMT. In sharp contrast, processor bids held firm or improved: crush margins above two dollars per bushel kept plants competing for nearby beans across the Eastern Corn Belt, where many crushers paid on the order of fifty to seventy cents over November to keep lines supplied. July's official crush ran nearly six percent above last year and soymeal exports hit a record 1.39 MMT, reinforcing the domestic pull for beans even as export basis softened. River bids for soybeans were seasonally weak as barge costs rose and water levels fell, and interior offers slipped a few cents as logistics tightened, but plant bids absorbed a good share of the nearby supply.

Wheat basis reflected the same global pressures seen on the board. Hard red winter cash premiums eased as harvest wrapped up and supplies proved ample, while soft red winter basis in Gulf export channels stayed historically firm near one dollar over December on prior commitments and selective demand. U.S. export sales were light at roughly 313,000 metric tons and inspections around 0.7 MMT, underscoring how aggressive Black Sea competition continues to cap upside for U.S. basis even as occasional tenders offer windows of opportunity. Domestic millers appeared well covered nearby, with buying interest shifting to opportunistic breaks or any tightening in protein availability.

Summing up, the basis landscape mirrors the spreads and the shift into new-crop flow. Corn basis is easing where logistics bite and where carry pays to store, while inland demand from ethanol and feeders steadies the tone. Soybeans display the sharpest divergence: exporters are wrestling with high barge costs and Brazil's dominance, but crushers are paying up on strong margins and record meal shipments. Wheat basis remains two-speed: softer in HRW country as harvest winds down, firm in SRW export lanes that still clear selective business.

So what: For merchandisers and end-users, corn and wheat continue to favor classic storage strategies — lock in the calendar carry now and look for basis appreciation later in the marketing year — while soybeans tilt toward prompt movement into processors to monetize strong nearby bids before broader harvest pressure dilutes premiums.

International Cash & Trade Flows

Brazil: Brazil continued to dominate global flows. ANEC raised its September soybean export projection to 7.4 MMT, reinforcing Brazil's grip on Chinese demand. Brazilian FOB soybean offers at Paranaguá stayed near $545/MT, keeping a $20/MT discount to U.S. Gulf values and ensuring nearby Chinese coverage. On corn, Santos offers held around $205–210/MT for October, reflecting heavy safrinha movement. Domestic corn prices in Mato Grosso were weak near R$60/bag as supplies overwhelmed demand. Exporters continued to move aggressively, with Asia the primary buyer, and Brazil's competitiveness left U.S. Gulf corn sidelined in world trade.

Argentina: Argentine corn remained the cheapest in the world at about $175/MT FOB Up-River, but farmer selling stayed limited due to political uncertainty and the distorted currency environment. With October elections approaching and the peso diverging sharply between official and parallel markets, growers used grain as a hedge against inflation. August exports were modest, and DJVE registrations for 2025 crop shipments have been minimal, reflecting hesitation to commit forward sales ahead of potential policy shifts.

Black Sea: Russian exports stayed heavy, keeping wheat values cheap. Russian 12.5% protein wheat was quoted at $230–235/MT FOB, sustaining brisk shipments. Ukraine's exports remained constrained by the collapse of the Black Sea corridor, forcing more corn and wheat into Danube and rail routes. As of early September, Ukraine's grain exports for 2025/26 were still running more than forty percent behind last year. The imbalance left Russia as the dominant supplier, adding pressure to U.S. and EU export offers.

European Union: EU wheat exports have lagged sharply, with shipments more than forty percent behind last year. France in particular has struggled to move grain into North Africa as Black Sea origins undercut prices. At the same time, drought cut EU corn output, pegged around 57–58 MMT, which will raise import requirements to 18–19 MMT this season. Most of those volumes are expected to come from Brazil and Ukraine, limiting immediate U.S. opportunities but keeping the door open for later in the marketing year.

China: Chinese importers stayed largely absent from U.S. markets. Soybean purchases were minimal as crushers worked through record Brazilian arrivals. August imports were expected near 9.5 MMT, almost entirely Brazilian, leaving U.S. Gulf soy offers at a disadvantage despite being about $20/MT cheaper. Domestic crush margins in China remained negative, limiting new demand. In corn, no major U.S. sales were booked, as domestic Chinese prices remained above import parity. Dalian soymeal futures, however, firmed on steady hog demand, underscoring resilience in product consumption even as soybean buying slowed.

Other origins: Canada's canola and wheat harvest advanced under mixed conditions, with prairie heat cutting canola yields below average. Australia's outlook was clouded by El Niño, though timely rains offered some stability. South Africa raised its corn export forecast to 3.5 MMT, adding competition for U.S. exports into select African and Asian markets. India maintained its 40 percent import duty on wheat through March 2026, keeping it effectively sidelined from world trade despite rising domestic prices.

Other trade notes: Japan confirmed an $8B agricultural import framework with the U.S., bolstering feedgrain demand commitments. Ukraine implemented a 10% duty on some grain exports, limiting competitiveness versus Russia. In India, domestic wheat prices reached record highs, raising chatter about potential imports despite official denials.

Brazil/ANEC: Note the change in reference month — August corn exports were exceptionally high, while September guidance points lower as the safrinha surge fades; soybeans pick up in September as China rolls coverage forward. Ukraine: Exporters face a newly applied duty on some flows alongside ongoing logistics via Danube/rail, keeping shipments below last year and supporting Russia's dominant share. Argentina elections: Policy uncertainty ahead of October kept new DJVE registrations light; exporters are cautious on forward programs until post-election clarity

So what: Global trade flows remain dominated by Brazil's record shipments of corn and soybeans and Russia's cheap wheat, leaving the U.S. as a residual supplier. EU import needs and Ukraine's constrained logistics could eventually redirect demand to the U.S., but in the near term, end-users have ample alternative origins. For soybeans, all attention is on the timing of Chinese buying — delayed demand risks further U.S. weakness into harvest, but once coverage shifts away from Brazil, U.S. Gulf offers could regain traction.

Key Fundamentals & Reports (Sep 3 – Sep 10)

Crop Progress (USDA NASS, published Sep 8 for week ending Sep 7): U.S. corn condition slipped to 68 percent good/excellent (down one point from the prior week), with 23 percent mature (vs 18 percent average) and harvest at 4 percent complete (vs 3 percent average). Soybean condition fell to 64 percent G/E (down one point), with 10 percent dropping leaves, in line with average pace, and harvest beginning in southern states. The modest declines in condition were not as sharp as late August but kept yield concerns in focus, particularly for soybeans where G/E ratings are at seasonal lows. Weather in September will be decisive for pod fill and kernel weight, setting up expectations ahead of the Sep 12 WASDE.

Export Inspections (USDA FGIS, week ending Sep 4, reported Sep 8): Corn inspections totaled 1.4 MMT, slightly higher than the prior week's 1.3 MMT, led by Mexico and Japan. The late-season strength underscores that 2024/25 corn exports exceeded USDA's target. Soybean inspections were 0.82 MMT, up from 0.47 MMT the previous week, reflecting the first wave of new-crop loadings, though still modest relative to Brazil's pace. Wheat inspections came in at 0.70 MMT, down from 0.80 MMT the prior week but consistent with USDA's forecast path for 2025/26, even as Russia's heavy flows remain a headwind.

Export Sales (USDA FAS, reported Sep 5 for week ending Aug 28): Weekly corn sales were 0.49 MMT, almost entirely new-crop, while soybean sales showed net cancellations of 0.19 MMT old crop but 0.65 MMT in new-crop commitments, largely to Mexico. Wheat sales registered 0.31 MMT, leaving season-to-date totals modest but broadly aligned with USDA's outlook. The data reflected the seasonal rollover between old- and new-crop books, with cancellations clearing old contracts and forward demand picking up into the fall.

Ethanol Production & Stocks (EIA, week ending Sep 5, reported Sep 10): Ethanol output averaged 1.02 million barrels per day, just below the prior week, while stocks rose to 22.9 million barrels. Implied corn use for ethanol was about 103 million bushels for the week. Margins remained positive, supported by gasoline demand near 9.0 mbpd, ensuring processors stayed active buyers.

NOPA Crush: No fresh data were published during this window. The last report confirmed record July crush, and anecdotal evidence suggests August activity was strong. Traders anticipate the August NOPA report (due mid-Sep) could show 168–170 million bushels, which would keep soybean disappearance elevated.

Flash Sales: USDA announced a daily export sale of 110,000 MT of corn to Mexico (2025/26 delivery). No soybean flash sales were reported during the week, underscoring China's continued absence from the U.S. book as it works through record Brazilian arrivals.

International Reports:

Brazil – ANEC Exports (Sep 9): ANEC projected September exports at 7.4 MMT soybeans, 6.3 MMT corn, and 1.5 MMT soymeal. Corn loadings were running at record pace, keeping Brazil dominant into Asia and limiting U.S. sales. Brazilian soybean FOB premiums at Paranaguá held steady near +230X, about $20/MT below U.S. Gulf values, maintaining the advantage for nearby Chinese buying. Soymeal shipments remained strong, reflecting crush margins that continue to incentivize output. *So what:* Brazil's export surge continues to flood global markets, deferring U.S. export demand into Q4.

Argentina – Rosario Board of Trade (BCR) Weekly (Sep 6): BCR indicated farmers sold only modest volumes of 2025 corn forward despite attractive FOB offers near $175/MT, as the peso's parallel market collapse encouraged on-farm holding. Farmer sales were running behind normal, with election uncertainty slowing forward commitments. *So what:* Slow selling implies limited nearby export availability despite cheap nominal offers, keeping Argentina as the cheapest origin but with constrained flow until policy clarity improves.

China – Customs (Aug, reported Sep 9): China imported 9.5 MMT of soybeans in August, almost entirely from Brazil, and just 0.25 MMT of corn, underscoring reliance on domestic reserves and limited import appetite. The Ministry of Agriculture (MARA) left its 2025 corn output forecast unchanged at 280 MMT but acknowledged weather issues in the northeast could trim yields slightly. *So what:* Soybean imports confirm China's needs are being met by Brazil for now, while corn imports remain negligible. U.S. exporters remain sidelined until Chinese crushers re-engage, likely around U.S. harvest lows.

European Union – MARS Bulletin (Sep 5): The EU's monitoring service cut maize yield forecasts further to 7.3 t/ha, down eight percent vs the five-year average, citing hot and dry conditions in France, Germany, and Poland. The European Commission pegged 2025 corn output at 57.6 MMT, one of the smallest crops since 2018. Soft wheat output was raised slightly, but sluggish export pace implies rising carryout. *So what:* EU import needs for corn will stay elevated (18–19 MMT), with Brazil and Ukraine the main suppliers in the near term; U.S. could capture demand later if Black Sea supplies tighten.

Global – FAO Food Price Index (Sep 6): The FAO's August food price index fell again, with the cereal sub-index down on ample harvest supplies. *So what:* Softer global food prices reduce the urgency for export restrictions, though rice markets remain volatile after India's export curbs.

Weather & Crop Conditions

Crop Progress & Rainfall: Early September weather reinforced the transition toward harvest while keeping regional contrasts in focus. Over Sep 2–9, scattered showers fell across parts of the central and eastern Corn Belt, but western areas stayed mostly dry. Rains in Illinois, Indiana, and Ohio helped soybean pod fill and topsoil moisture, while Iowa and Minnesota remained under persistent dryness. The net effect was stabilization for soybeans in the east, but limited relief for the west where subsoil deficits are severe.

Temperatures: Conditions moderated after late-August extremes. Highs across much of the Midwest ran in the 70s°F to low 80s°F, with nighttime lows in the 50s°F. This improved harvest conditions, reducing heat stress on late soybeans. However, the lack of moisture in the western Corn Belt maintained stress on corn stalk integrity, raising lodging risks as harvest advances. Soil moisture maps showed Iowa at roughly 70 percent short/very short, while Ohio improved to near 25 percent short, a notable recovery from prior weeks.

Outlook (6–10 days): The forecast issued Sep 9 pointed to a continuation of this split. The western Corn Belt and Plains were expected to see above-normal warmth and mostly dry conditions, beneficial for a swift harvest but unfavorable for late-planted beans and double-crop fields. The eastern Corn Belt was forecast to receive moderate rainfall from a tropical system remnant, potentially slowing early harvest but improving fall soil profiles for winter wheat planting.

South America: Brazil remained in its dry season. Rains were limited to far southern areas (Rio Grande do Sul), leaving central and northern states dry ahead of soybean planting, which typically begins in mid-to-late September. Farmers are watching closely for the onset of monsoon rains, with El Niño raising uncertainty about timing. In Argentina, after a very dry early winter, August rainfall improved topsoil moisture in northern provinces, but the Pampas remain drier than ideal for the upcoming corn and soybean planting season.

Global: Canada's Prairies continued to face drought stress, curbing canola and spring wheat yields; StatsCan is due to release updated production figures mid-September. Europe's hot, dry late summer effectively sealed corn losses already reflected in lower yield forecasts. Australia's outlook stayed dry under strengthening El Niño conditions, with wheat yields under downward revision as the crop finishes filling. India's monsoon ended about eight percent below normal despite some late-season recovery, leaving rice and veg oil markets most sensitive to the shortfall.

So what: Weather no longer poses major upside or downside risk for U.S. yields; the crop is mostly "made." Recent rains likely stabilized soybeans, while dryness in the western Belt means stalk and harvest quality are the bigger concerns. From here, weather's influence shifts toward harvest pace and quality rather than yield potential. Warm, dry September conditions would accelerate corn and soybean dry-down, adding near-term supply pressure and weighing on basis, while patchy rains could slow harvest and support processor bids. Internationally, the key watch is Brazil's monsoon onset: any delay due to El Niño could push soybean planting back, tightening the window for Brazil's 2026 harvest and extending U.S. export opportunities.

Synthesis & Outlook

This week highlighted the shift from weather markets into harvest trade. Futures and cash stayed aligned: wide carries in corn and wheat rewarded storage, while soybean cash diverged between weak export basis and strong crush bids. Conditions edged lower but did not collapse, keeping the market cautious ahead of USDA's Sep 12 WASDE. The key debate is whether yields will hold close to August's estimates or show more damage, and whether China will reappear in the U.S. export book. Funds remain net short in corn and neutral in soy, leaving scope for volatility if harvest reports disappoint or demand surprises materialize.

Scenario guide: • Bear case — benign harvest weather and stable yields: Dec corn gravitates toward $3.80–$3.90; Nov beans $9.70–$9.80; wheat stays capped unless Black Sea policy shifts. • Base case — modest yield trims with steady demand: Dec corn holds $4.00–$4.20; Nov beans $10.00–$10.40; carries remain wide in corn/wheat, processor basis firm in soy. • Bull case — widespread yield disappointments or surprise China buying: Dec corn tests $4.30–$4.50; Nov beans $10.80–$11.00; wheat responds if Russian export policy tightens.

Base case: Expect a moderate downward adjustment in USDA's Sep 12 yields, with corn potentially trimmed from 175.1 to around 173–174 bu/acre and soybeans from 50.9 to around 50.0. Such a move would tighten balance sheets modestly but still leave comfortable stocks. In this scenario, Dec corn likely trades $4.00–$4.20, Nov soybeans $10.00–$10.40, and wheat stays defensive near $5.00–$5.30.

Bullish triggers: If early harvest results show yields consistently 5–10 bu below APH in key states like Iowa or Illinois, or if USDA surprises with a bigger cut, corn could push above $4.30 and test $4.50. Soybeans could move back toward $10.80–$11.00, especially if Chinese demand returns in size. Any revival of large export buying — Mexico in corn, China in soybeans — would add fuel. Outside markets could reinforce a rally if the dollar weakens further or crude oil rallies on OPEC+ action. For wheat, the most obvious spark would be a Russian export tax or quota announcement, which could quickly lift CBOT values out of the current trough.

Bearish triggers: On the downside, if harvest weather stays ideal and reports confirm yields near or above expectations, funds could add fresh shorts. Dec corn would likely slip back to the $3.80–$3.90 range, while Nov soybeans could test $9.70–$9.80, with chart support near $9.50. Lack of Chinese participation through September would weigh further on beans. Macro risks also lean negative: a firmer dollar on hawkish Fed rhetoric or global risk-off sentiment would pressure all grains via exports. Brazil's planting season is another watchpoint: if timely rains in September give confidence in another record crop for 2026, new-crop futures would weaken, pulling nearby along via spreads.

Watchlist for Sep 10–Sep 16: (1) USDA Sep 12 WASDE — key for yield revisions and export forecasts; (2) U.S. harvest reports from southern states — corn moisture and bean pod fill observations; (3) USDA export sales on Sep 12 — look for follow-through in corn sales to Mexico or any China surprises; (4) Black Sea developments — Russian policy shifts could move wheat; (5) Currency and outside markets around the Sep 11 Fed speak and Sep 12 CPI release — dollar moves could shift fund positioning.

In summary, grains and oilseeds enter harvest with a neutral-to-bearish posture. Supplies are ample enough to weigh on flat prices and keep spreads wide, but not burdensome enough to trigger panic selling. Commercials should continue capturing corn and wheat carries and firm nearby soybean basis while available. End-users may find buying opportunities if yields surprise to the upside, but otherwise current levels likely mark seasonal lows, especially in soybeans.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA WASDE reported a record crop and a record crop expansion.

USDA WASDE forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to $3.90 a bushel. Most importantly, 202526 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the U.S. corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.